

ARC Research

Global Macro & AI Research

Data Centers on the Ballot

Rules, money, 2026 winners and voters across 50 states · Data as of 5 Nov 2026

Educational purposes only, not investment advice

AGENDA

Five parts, from basics to voters

1	**Background**	What it is, water, how the index works	Slides 3–7
2	**The regulatory index**	How it’s built, why Texas leads	Slides 8–12
3	**Investment**	Announced $, tax breaks, what’s built	Slides 13–17
4	**Election winners**	Senate and governor stances	Slides 18–21
5	**Public opinion**	Opposition, harms, the vote	Slides 22–25

Also: outlook (26) · ARC Research view (27) · sources (28)

SECTION 1 OF 5

Background

What an AI data center is, and why towns push back

What an AI data center is · 4
Water: use and rules · 5
How the index is built · 6
The 50-state rules map · 7

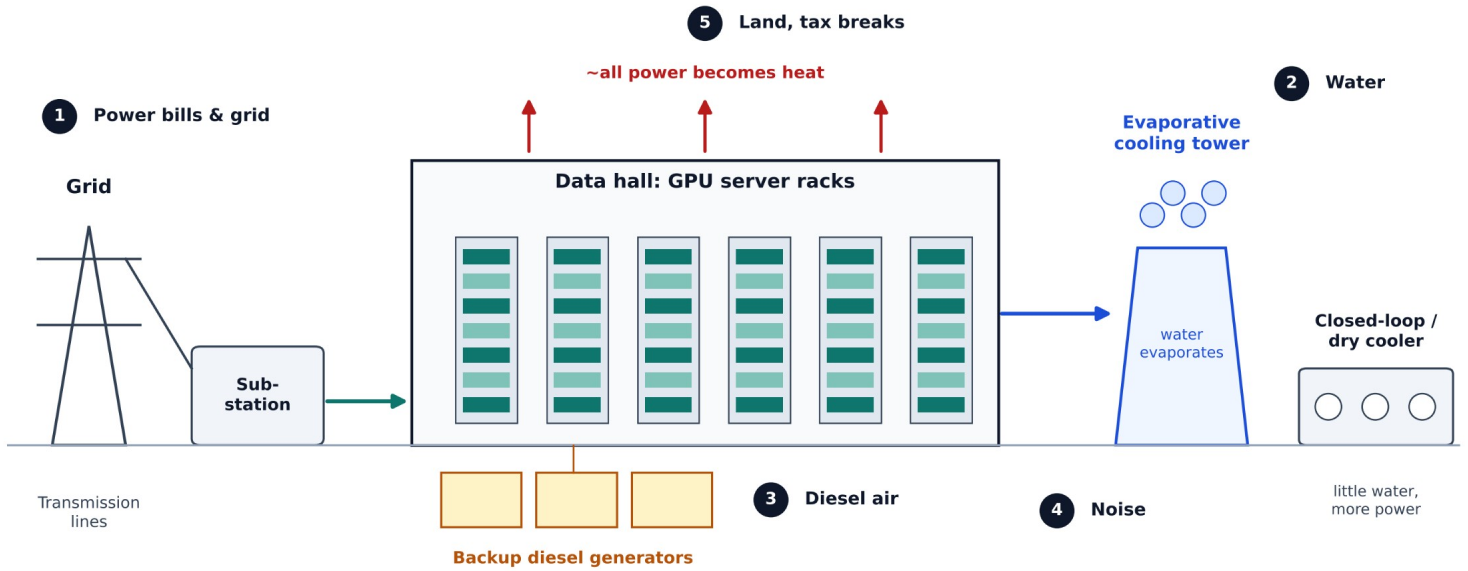
PRIMER

What an AI data center is

ARC RESEARCH | SPECIAL TOPICS | PRIMER

What an AI data center is, and where the local concerns sit

A warehouse of GPU servers: power comes in, nearly all of it leaves as heat, and cooling that heat is where water comes in



Schematic, not to scale; ARC Research illustration. US data centers used 176 TWh in 2023, 4.4% of US electricity; LBNL projects 325-580 TWh (6.7%-12.0%) by 2028 (Lawrence Berkeley National Laboratory, 2024 United States Data Center Energy Usage Report, Dec 2024). Concern tags map to the ARC Research index components. Data as of 5 Nov 2026.

SO WHAT

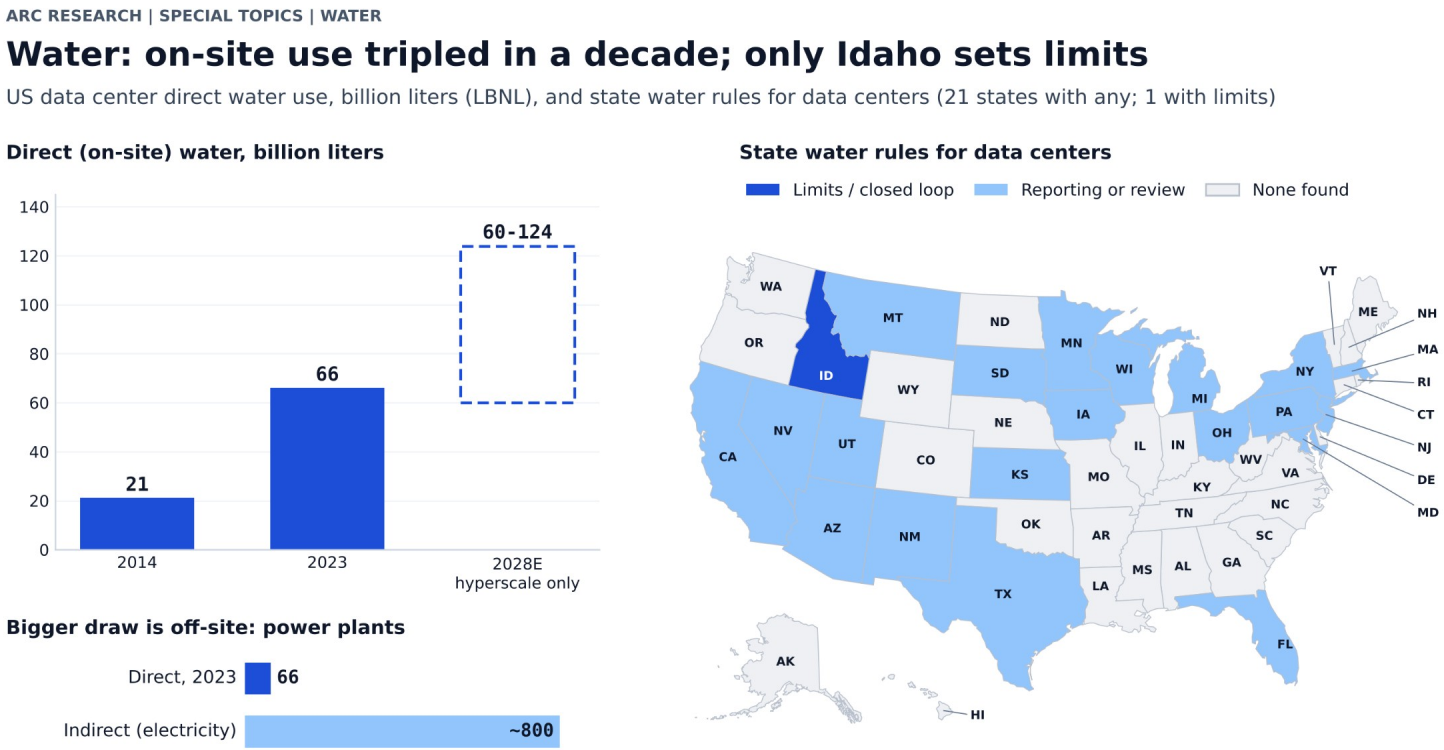
Power in, heat out: 4.4% of US power

Cooling choice trades water for power

Five local concerns drive the rules

WATER

Water use tripled; only Idaho sets limits



Source: Lawrence Berkeley National Laboratory, 2024 United States Data Center Energy Usage Report (Dec 2024): direct on-site water 21.2B liters in 2014 and 66B in 2023 (84% hyperscale and colocation); hyperscale alone projected at 60-124B liters in 2028 (dashed range, projection, hyperscale only); indirect water footprint from electricity generation 'nearly 800 billion liters'. Right: ARC Research index, Environment > water rules (0 none, 50 reporting/disclosure/review, 100 limits or closed-loop mandates). Map geometry: Highcharts map collection (Natural Earth based). Data as of 5 Nov 2026.

SO WHAT

On-site: 21B → 66B liters, 2014–23

Power plants use ~12x more for them

21 states have rules; 1 sets limits

HOW THE INDEX IS BUILT

1,000 sourced scores, one rubric

ARC RESEARCH | SPECIAL TOPICS | METHOD

How the index is built: rubric, evidence, score, weight, refresh

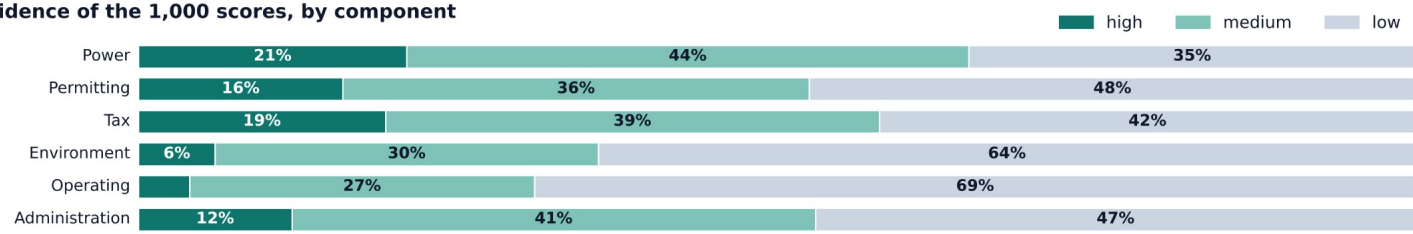
1,000 scored rows (50 states x 20 indicators), each with a source link, date and confidence; about half are low-confidence

1 Rubric	2 Research	3 Score	4 Combine	5 Refresh
20 indicators in 6 components; fixed levels, 0 = no rule, 100 = strictest	Each state x indicator: PUC dockets, statutes, executive orders, moratoria, tax rules	Rubric level plus a one-line evidence note, source link, date and confidence	Component = mean of its indicators; composite = weights 30/25/15/15/10/5	Daily: power, permitting; Mondays: other four; change only on new sourced evidence

Worked example: Texas

Large-load tariff -> level 100 (SB 6 + PUCT rules, Sept 2026; confidence medium) -> Power component 87.5 -> composite 64.0, rank 1 of 50

Confidence of the 1,000 scores, by component



Source: ARC Research regulatory index evidence file and rubric (dashboard), 5 Nov 2026; counts our calculation. Confidence: high = primary document (statute, PUC order, EO); medium = reputable secondary source; low = inferred or no rule found.

SO WHAT

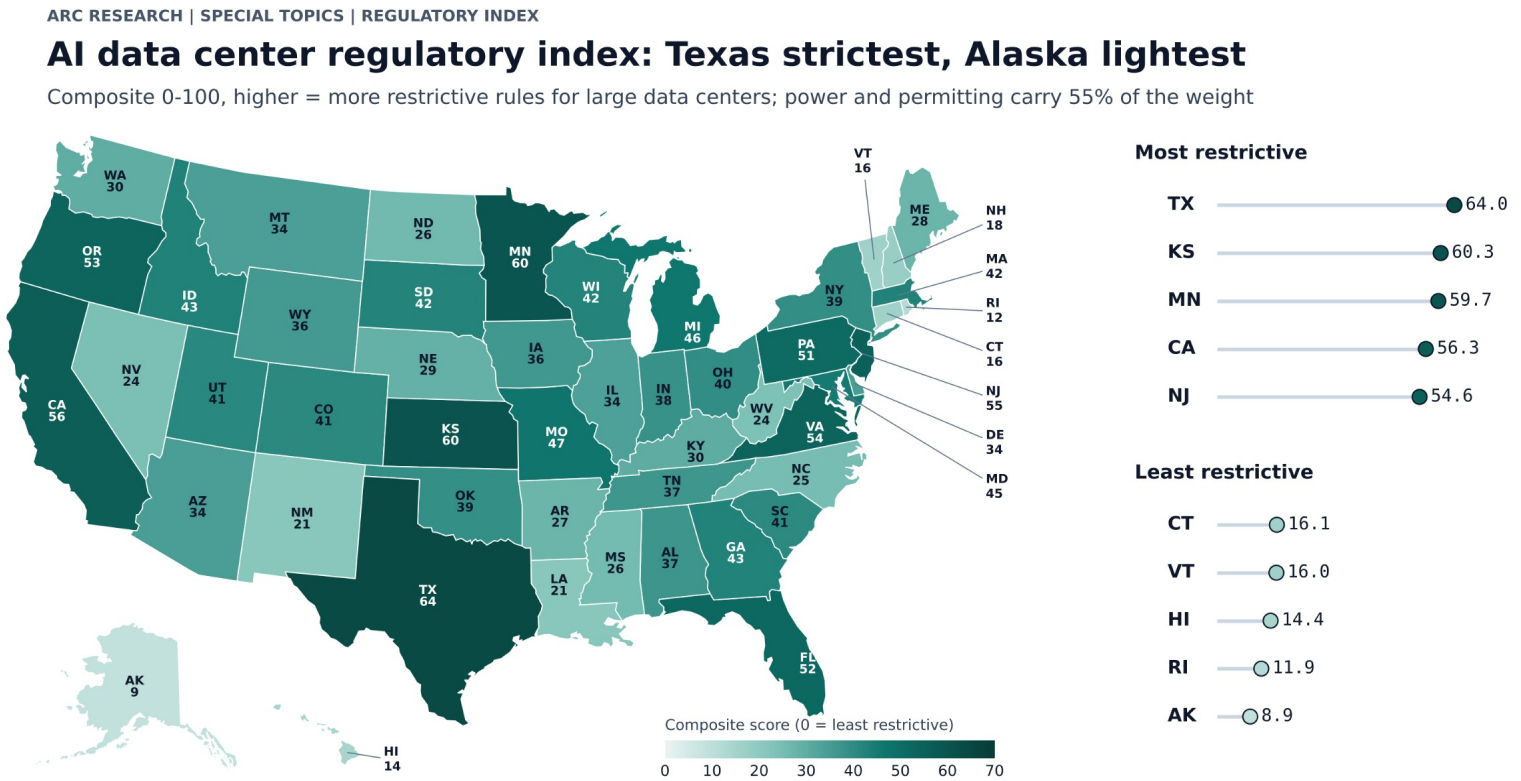
Every score links to a dated source

Power evidence strongest: 65% high or medium

Low = often “no rule found”

THE MAP

Texas has the strictest rules, Alaska the lightest



Source: ARC Research regulatory index (20 rubric-scored indicators per state; evidence and links on the dashboard). Composite = 0.30 Power + 0.25 Permitting + 0.15 Tax + 0.15 Environment + 0.10 Operating + 0.05 Administration, each component the mean of its scored indicators; our calculation. Map geometry: Highcharts map collection (Natural Earth based). Data as of 5 Nov 2026.

SO WHAT

Higher score = more restrictive, not fewer projects

Top 5: TX 64, KS 60, MN 60, CA 56, NJ 55

Lightest: AK 9, RI 12, HI 14, VT 16, CT 16

SECTION 2 OF 5

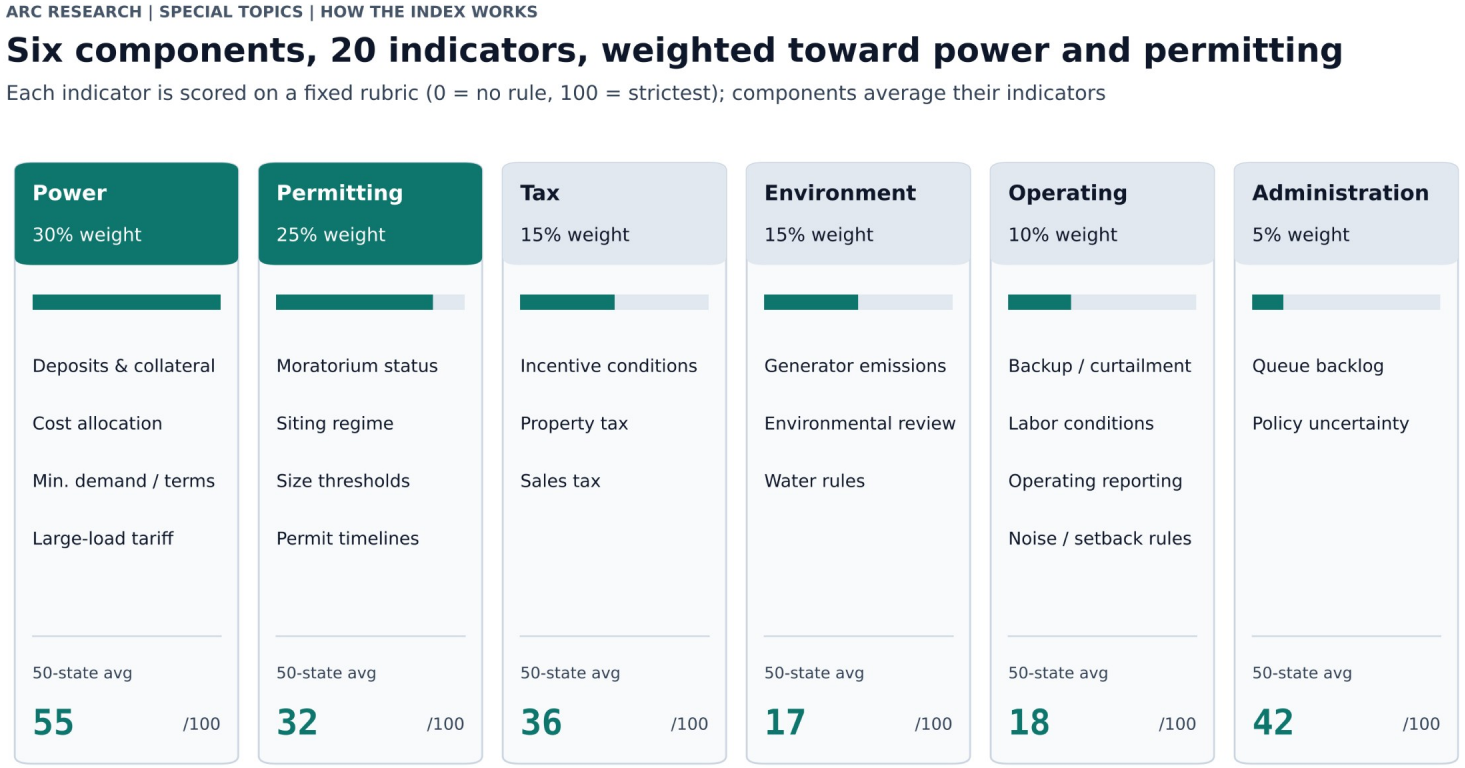
The regulatory index

Twenty rules per state, scored on one rubric

Six components and their weights · 9
Component maps · 10
Why Texas scores highest · 11
Why Texas draws projects · 12

HOW THE INDEX WORKS

Power and permitting carry 55% of the score



SO WHAT

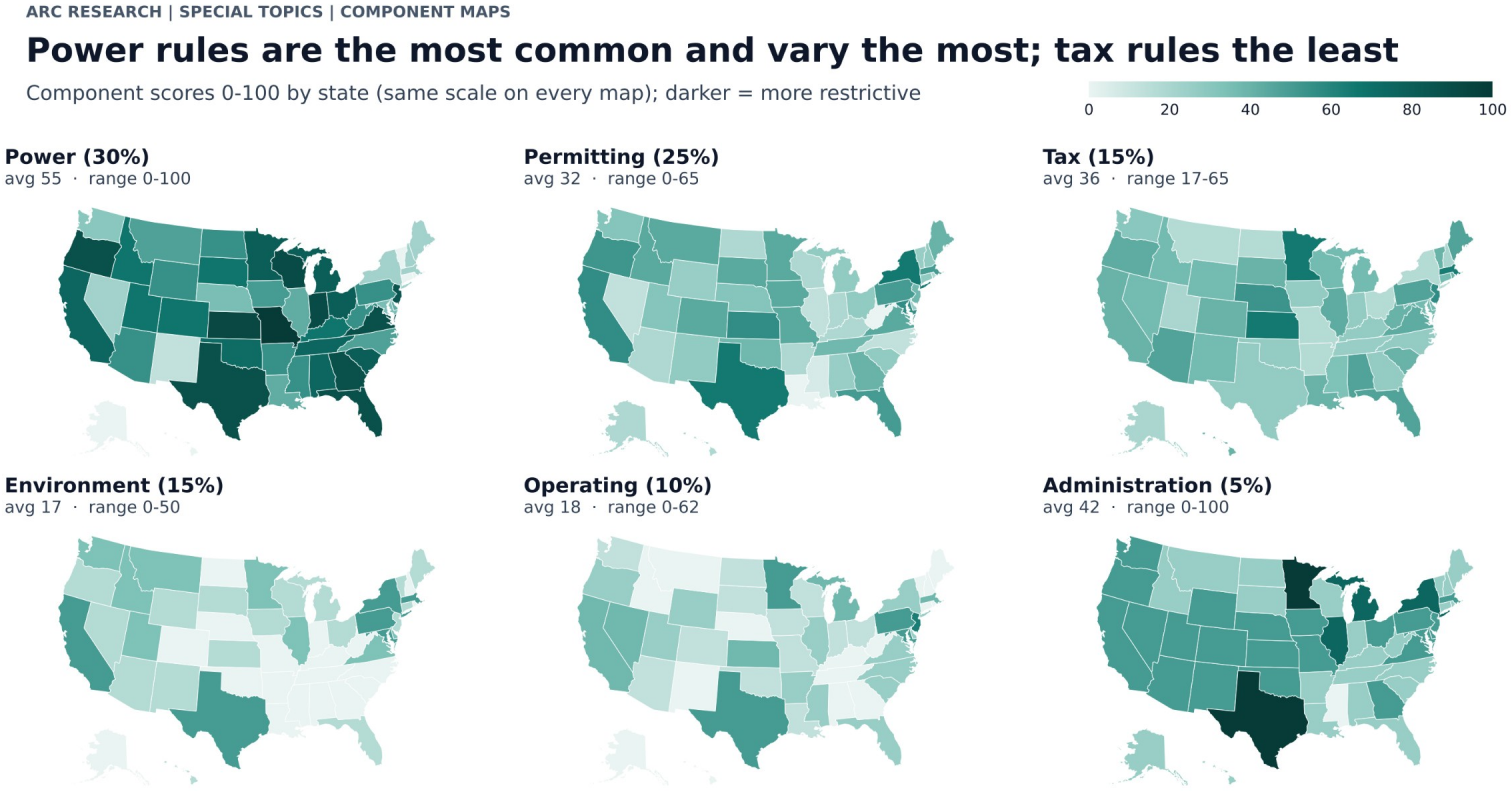
20 indicators, each 0–100 on a fixed rubric

Grid rules most common: power avg 55

Environment and operating rules still rare

COMPONENT MAPS

Power rules separate the states most



SO WHAT

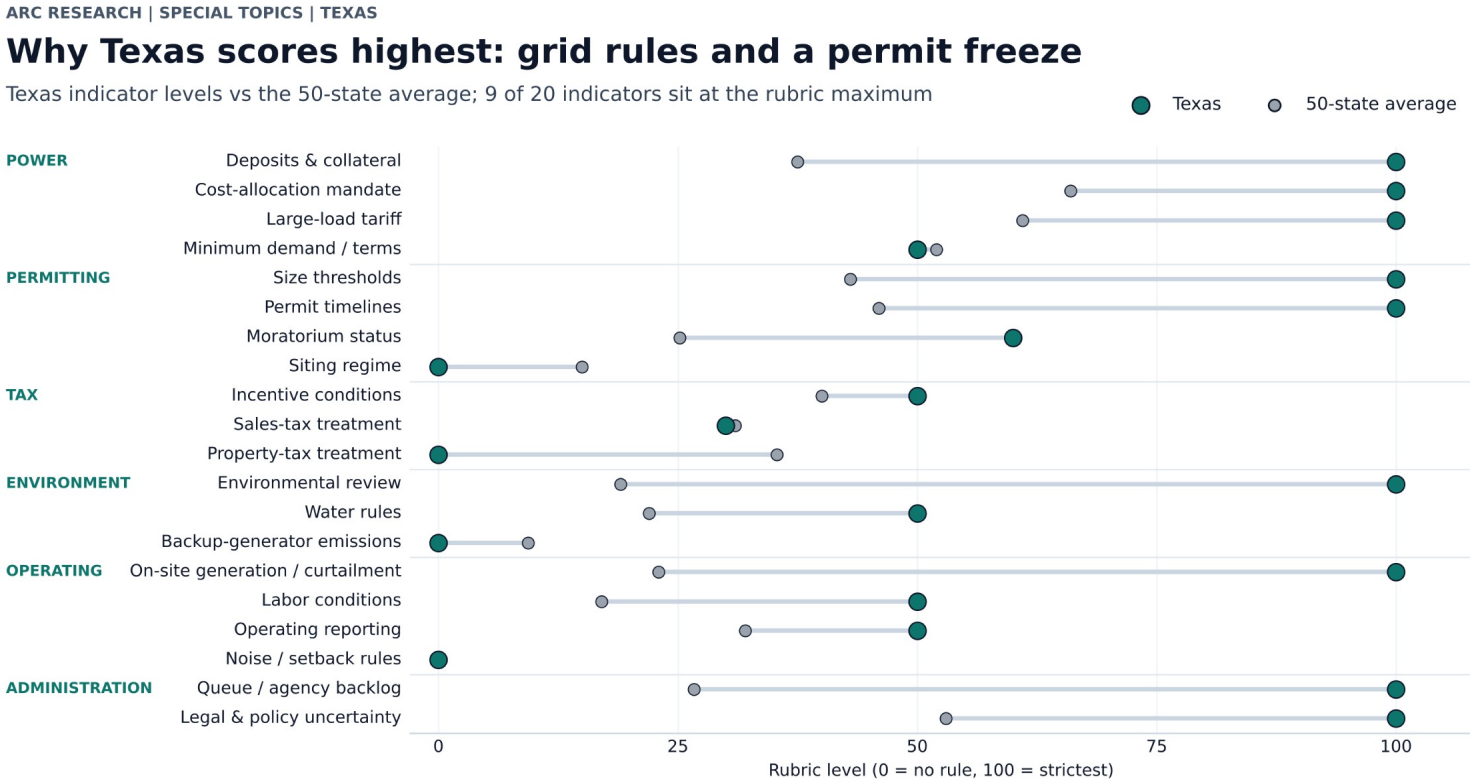
Power: 0 to 100, widest spread

Tax breaks: narrow band, 17–65

Texas near the top on five of six

TEXAS

Most money, strictest rules: why Texas tops



Source: ARC Research regulatory index evidence for Texas (SB 6 of 2025; PUCT large-load rules, Sept 2026; ERCOT Batch Zero; Gov. Abbott's Sept 21, 2026 TCEQ permit directive).
50-state average = mean indicator level across states, our calculation. Data as of 5 Nov 2026.

SO WHAT

Boom forced the rules: 438 GW queue

SB 6: pay for grid, accept curtailment

Still easy: local tax breaks, no state siting

Why Texas draws so many projects

ARC RESEARCH | SPECIAL TOPICS | WHY TEXAS

Why Texas draws so many projects: energy, its own grid, tax breaks

Abundant energy and a state-run grid pull in demand: 9 of 10 tracked companies have Texas sites

~29%	28%	#1	Own grid	10-15 yrs
of US wind power	**of US natural gas output**	**US power generator, 567 TWh**	**ERCOT, under state rules**	**sales-tax break on equipment**
EIA, 2024	EIA, 2024	EIA, 2024	EIA; ERCOT	Tax Code 151.359

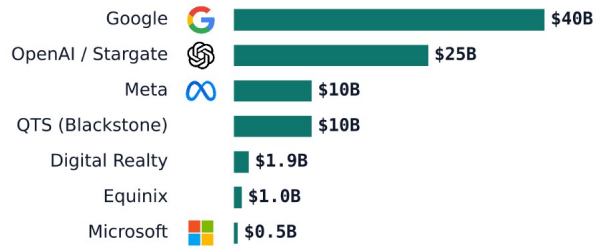
Demand waiting for the grid

410 GW

large loads seeking ERCOT interconnection

~87% data centers · as of 26 Mar 2026 (ERCOT)

Counted Texas announcements: $88.4B



Sources: EIA Texas State Profile and Energy Estimates (2024 data): wind 'nearly three-tenths of the U.S. total', 28% of US natural gas gross withdrawals, #2 in solar, #1 in net generation (566.5 TWh); 'most of Texas is not connected to the nation's regional power grids'. Texas Tax Code 151.359 (sales-tax exemption: $200M+ investment, 100,000 sq ft, 20 jobs; 10-15 years). ERCOT Large Load Update, 1 Apr 2026 (data as of 26 Mar 2026): ~410 GW seeking interconnection, ~87% data centers (later reports in the index evidence: 438 GW). Right: counted announcements on the ARC Research dashboard. Data as of 5 Nov 2026.

SO WHAT

Most energy in the US, wind and gas

410 GW queued: demand outran the grid

So Texas added the rules (slide 11)

SECTION 3 OF 5

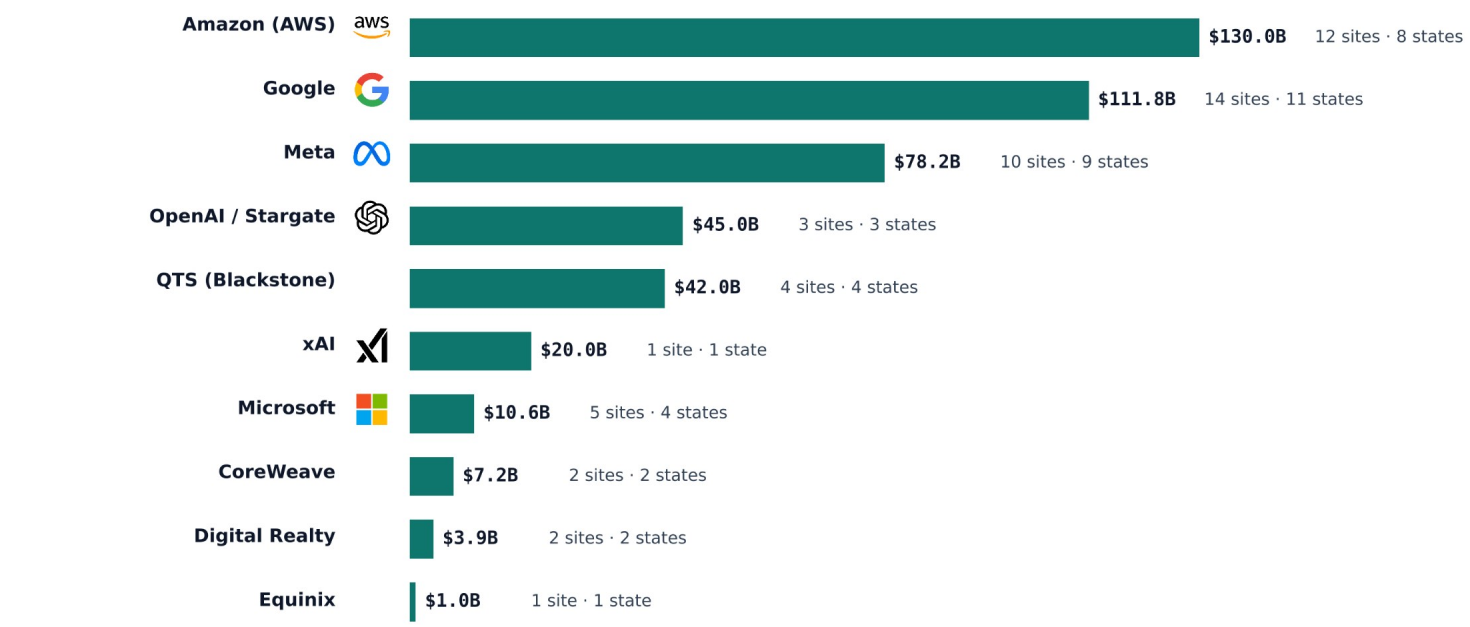
Investment

Where the announced dollars are going

Announced $ by company · 14
Money vs rules, by state · 15
What the tax breaks are worth · 16
Already being built · 17

INVESTMENT BY COMPANY

Amazon, Google, Meta: 71% of $450B



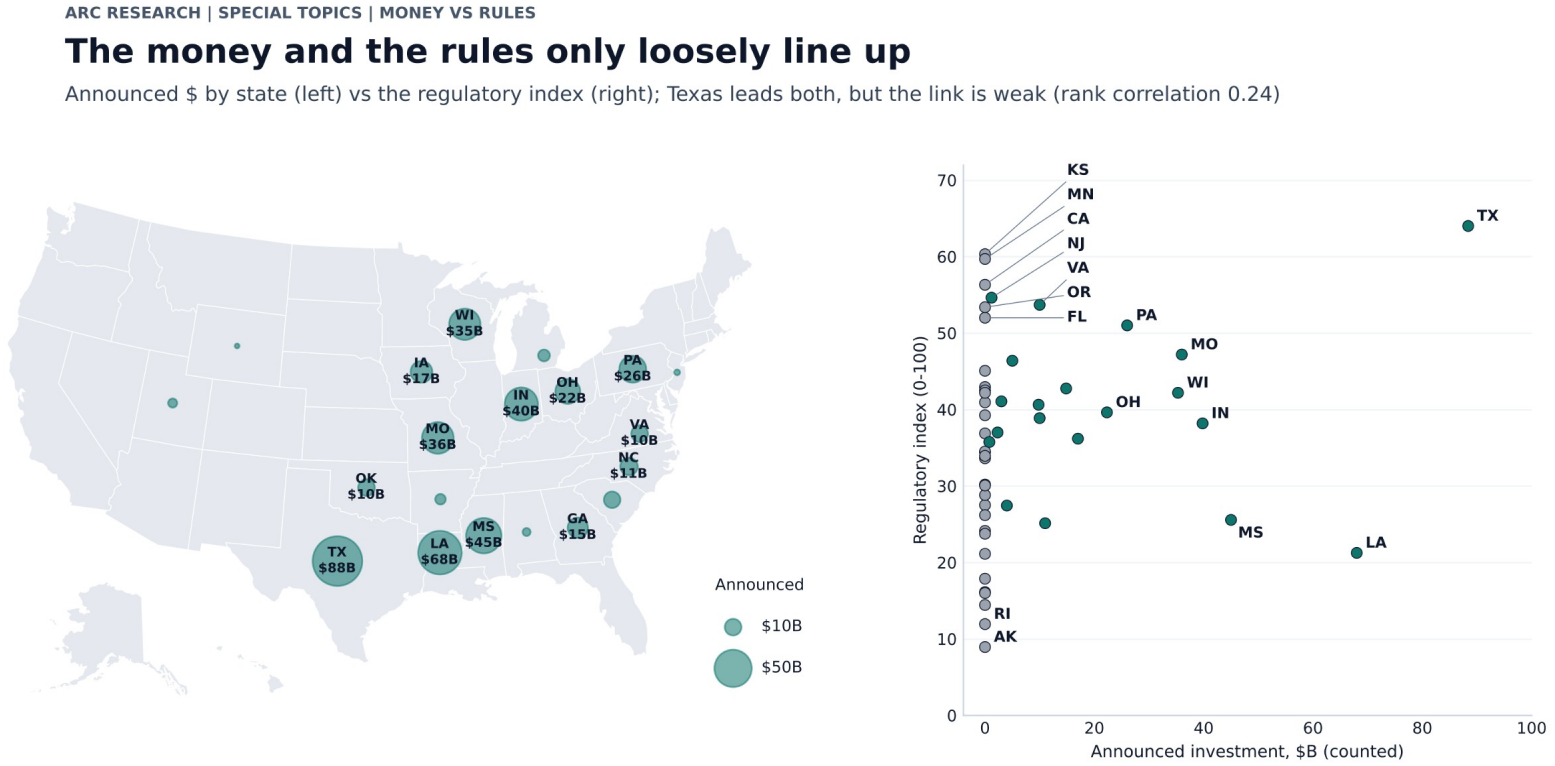
SO WHAT

$450B counted, Jan 2024–Nov 2026

Google spreads widest: 11 states

28 of 82 announcements not countable

The money and the rules only loosely line up



Source: announced investment compiled on the ARC Research dashboard (10 companies, counted figures, Jan 2024-Nov 2026); ARC Research regulatory index. States with no counted announcement from these 10 companies plot at $0, which is not the same as no data centers. Spearman rank correlation across 50 states = 0.24 (p = 0.09), our calculation. Map geometry: Highcharts map collection (Natural Earth based). Data as of 5 Nov 2026.

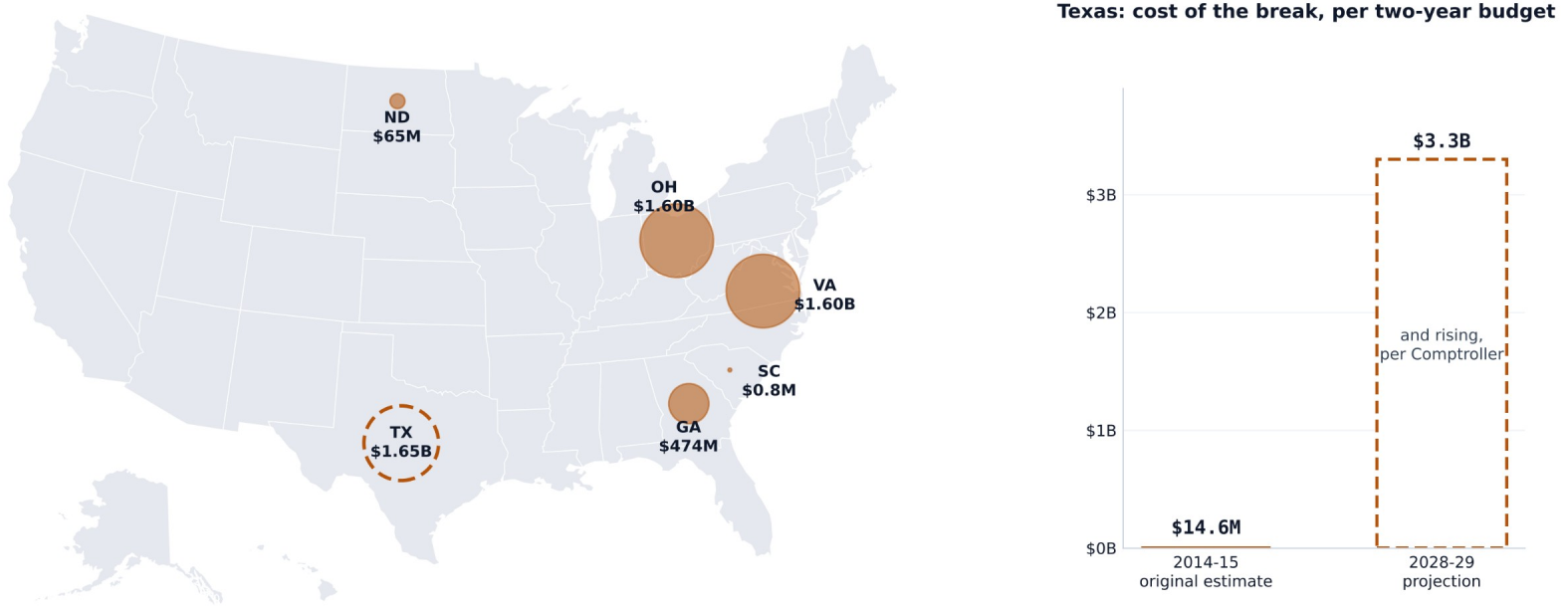
SO WHAT

Texas leads both: $88B, score 64

Louisiana, Mississippi: big $, light rules

Kansas, Minnesota: strict, little $

No tax break: billions a year to pay



SO WHAT

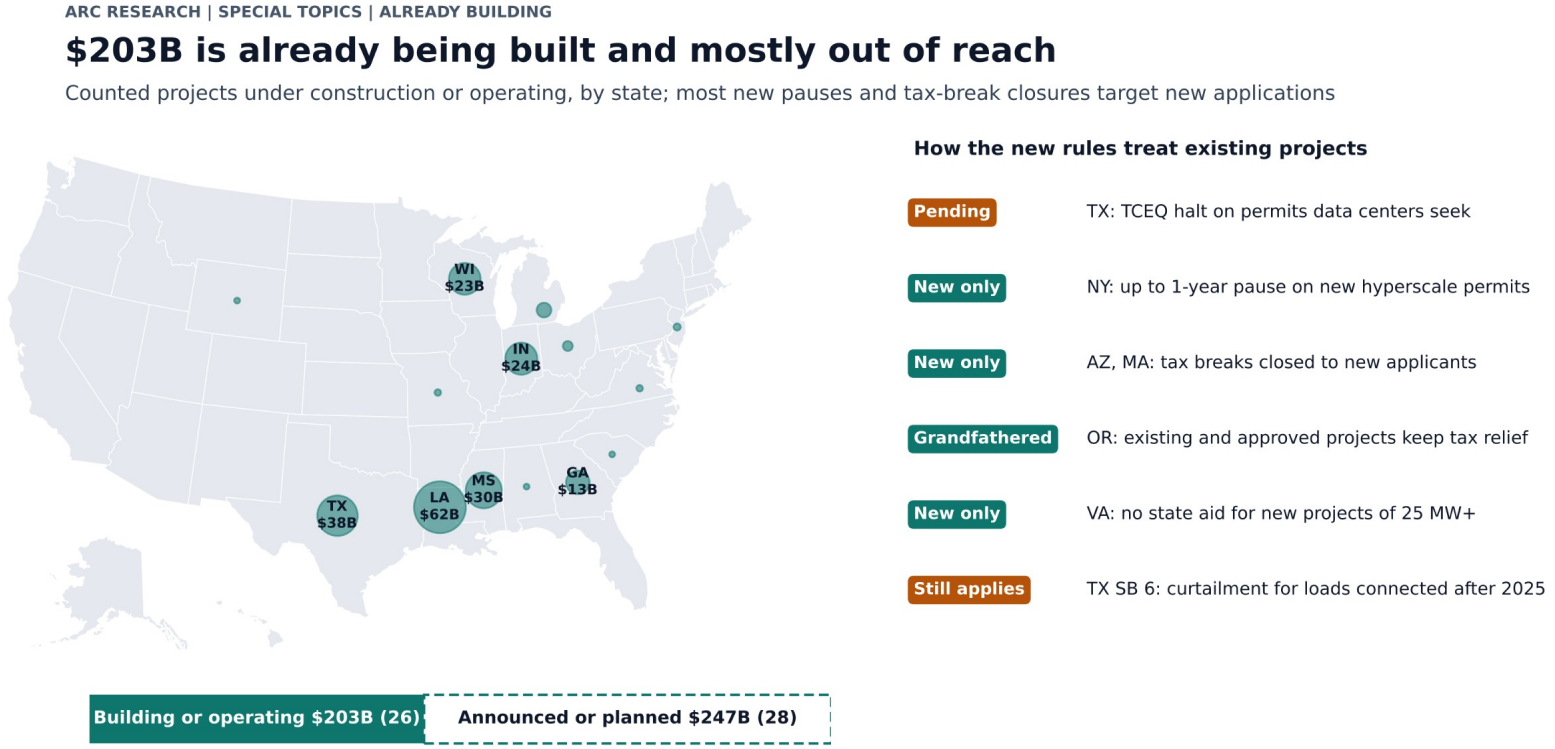
VA, OH, TX: ~$1.6B a year each

Texas: $14.6M estimate → $3.3B

Repeal talk in MD, TX, GA, MI

ALREADY BUILDING

$203B already building, mostly safe



SO WHAT

45% of counted $ is already building

Pauses target new applications

Grid rules still reach new hookups

SECTION 4 OF 5

Election winners

What the 2026 winners have said about data centers

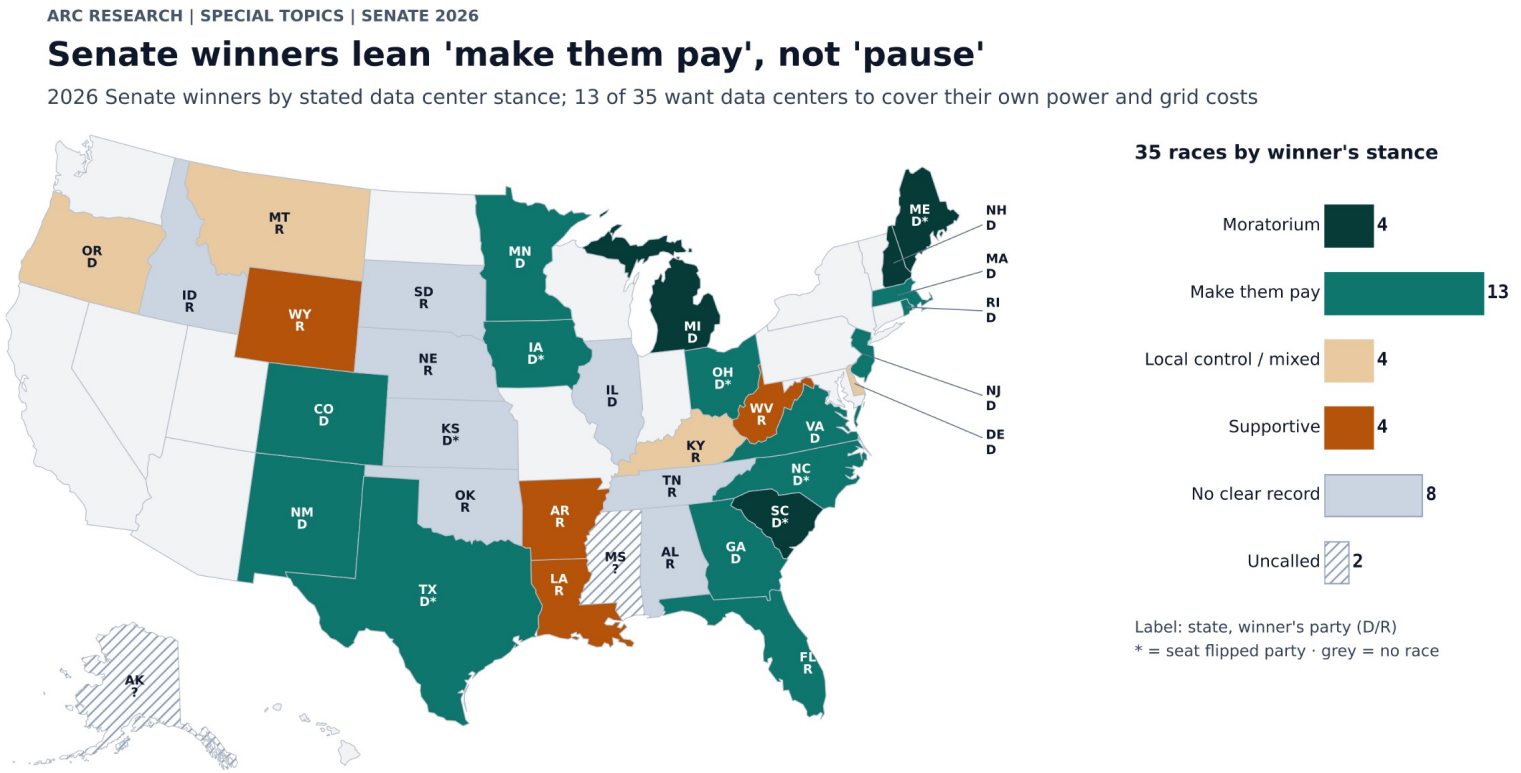
Senate winners' stances · 19

Governor winners' stances · 20

Stance by party · 21

SENATE 2026

Senate winners lean “make them pay”



Source: ARC Research dashboard 'Senate winners' stances' (AP/NBC/CBS projections as of 4 Nov 2026; stances from public statements, bills, votes and news, two links per race). Alaska and Mississippi remained uncalled on 5 Nov 2026 (Alaska Public Media; WDAM). Stance categories are ARC Research's classification. Map geometry: Highcharts map collection (Natural Earth based). Data as of 5 Nov 2026.

SO WHAT

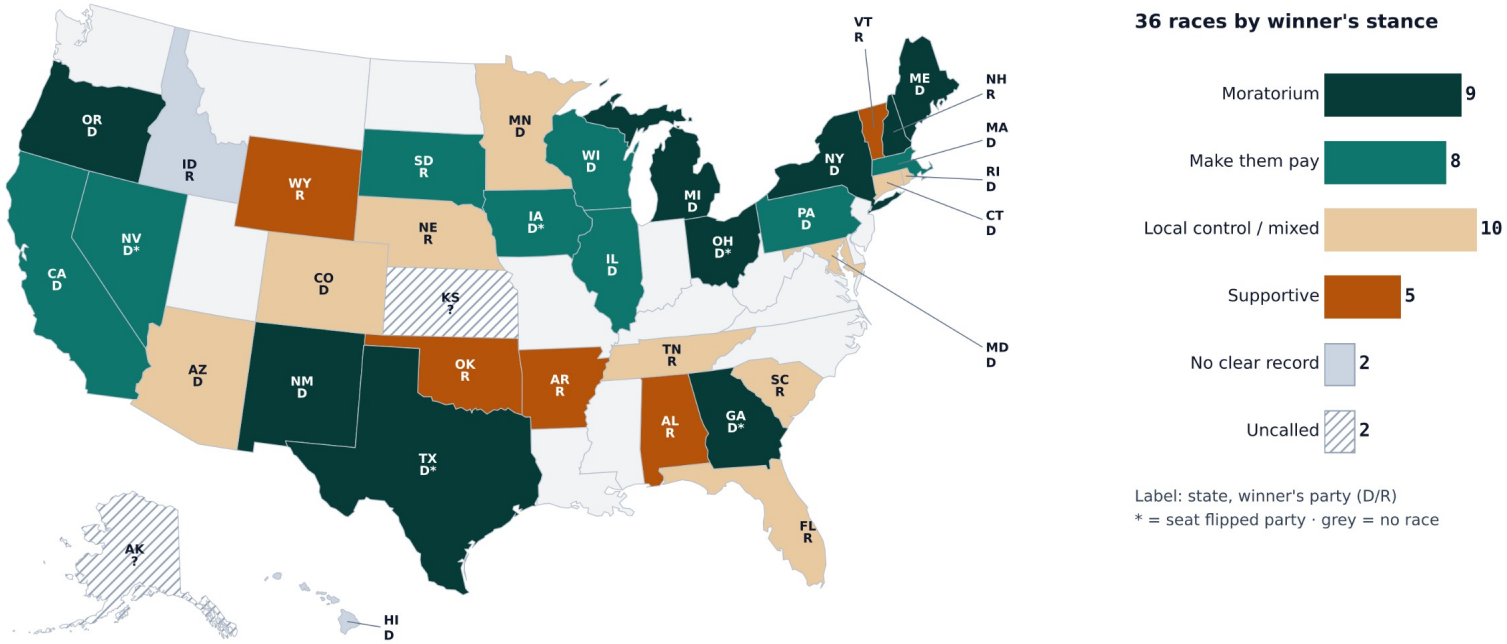
13 of 35: data centers pay own costs

7 flips, all D; 6 back pay or pause

Only 4 call for a moratorium

GOVERNORS 2026

Nine governors-elect back a moratorium



Source: ARC Research dashboard 'Governor winners' stances' (AP calls via MultiState and network projections, 4 Nov 2026; stances from candidate statements and news, two links per race). Alaska and Kansas remained uncalled on 5 Nov 2026 (FairVote; KSHB). Stance categories are ARC Research's classification. Map geometry: Highcharts map collection (Natural Earth based). Data as of 5 Nov 2026.

SO WHAT

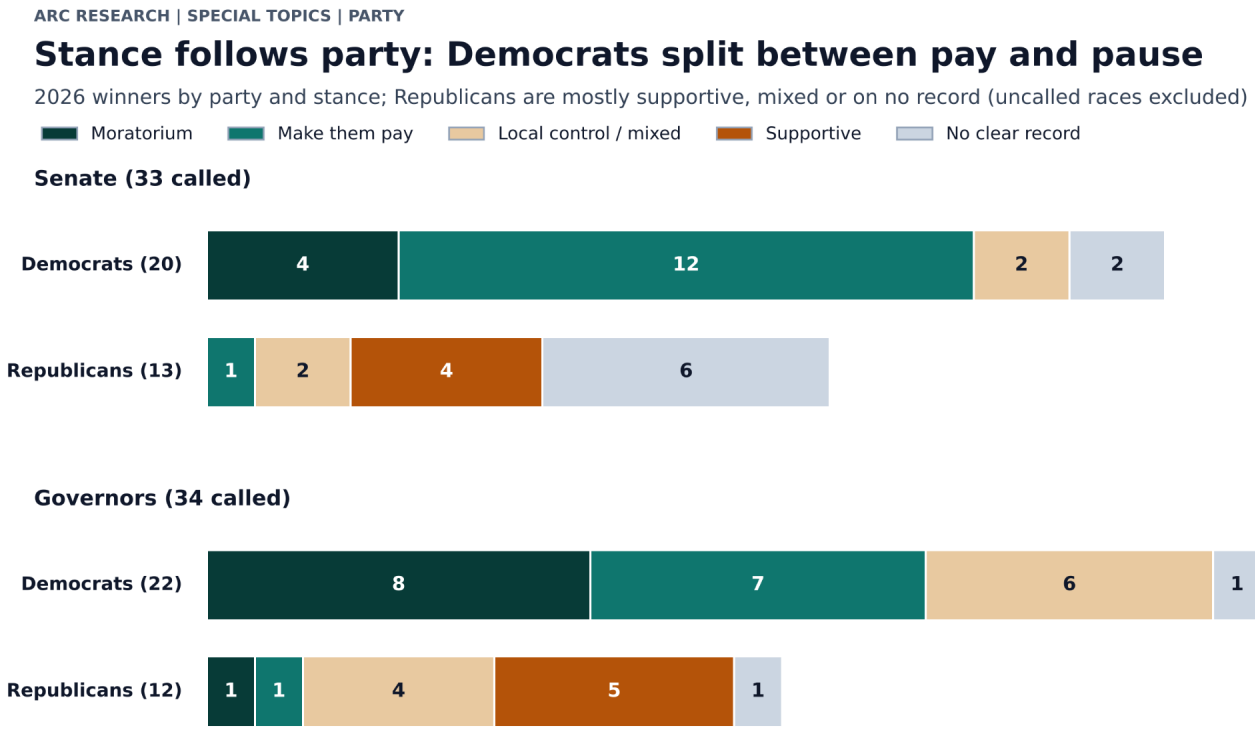
Governors run the PUCs and permits

Texas governor-elect backs a pause

Largest group: local control, 10

PARTY

Stance follows party



Source: ARC Research dashboard 'Senate winners' stances' and 'Governor winners' stances' (projections as of 4 Nov 2026). Four uncalled races excluded (Senate: AK, MS; governor: AK, KS). Stance categories are ARC Research's classification. Data as of 5 Nov 2026.

SO WHAT

Democrats: 31 of 42 pay or pause

All 9 “supportive” are Republicans

Senate GOP: 6 of 13 on no record

SECTION 5 OF 5

Public opinion

Voters turned against local data centers in 2026

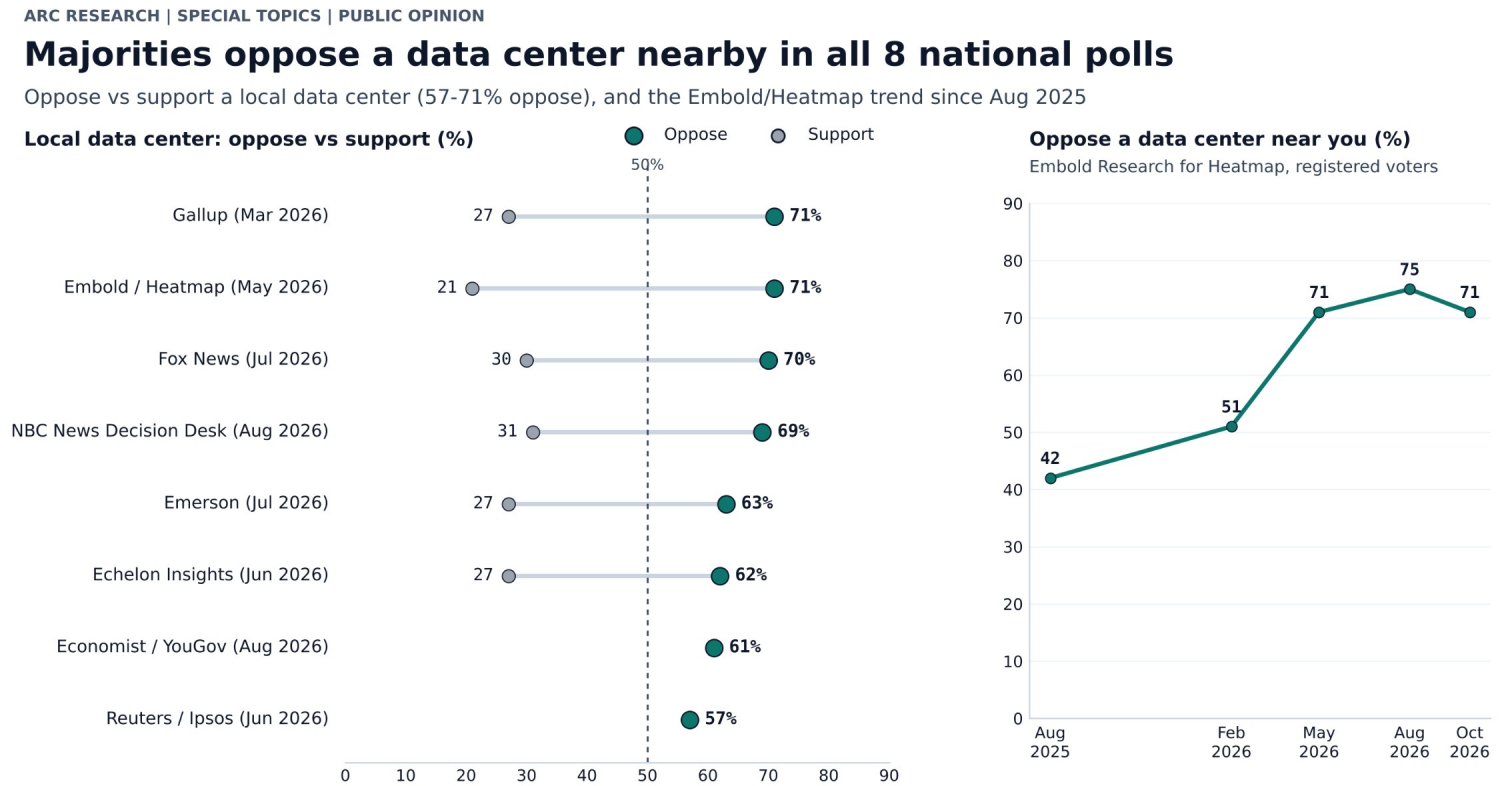
Local opposition across 8 polls · 23

Perceived harms, Jan vs Aug · 24

Party split and the exit poll · 25

PUBLIC OPINION

Every national poll: most oppose one nearby



SO WHAT

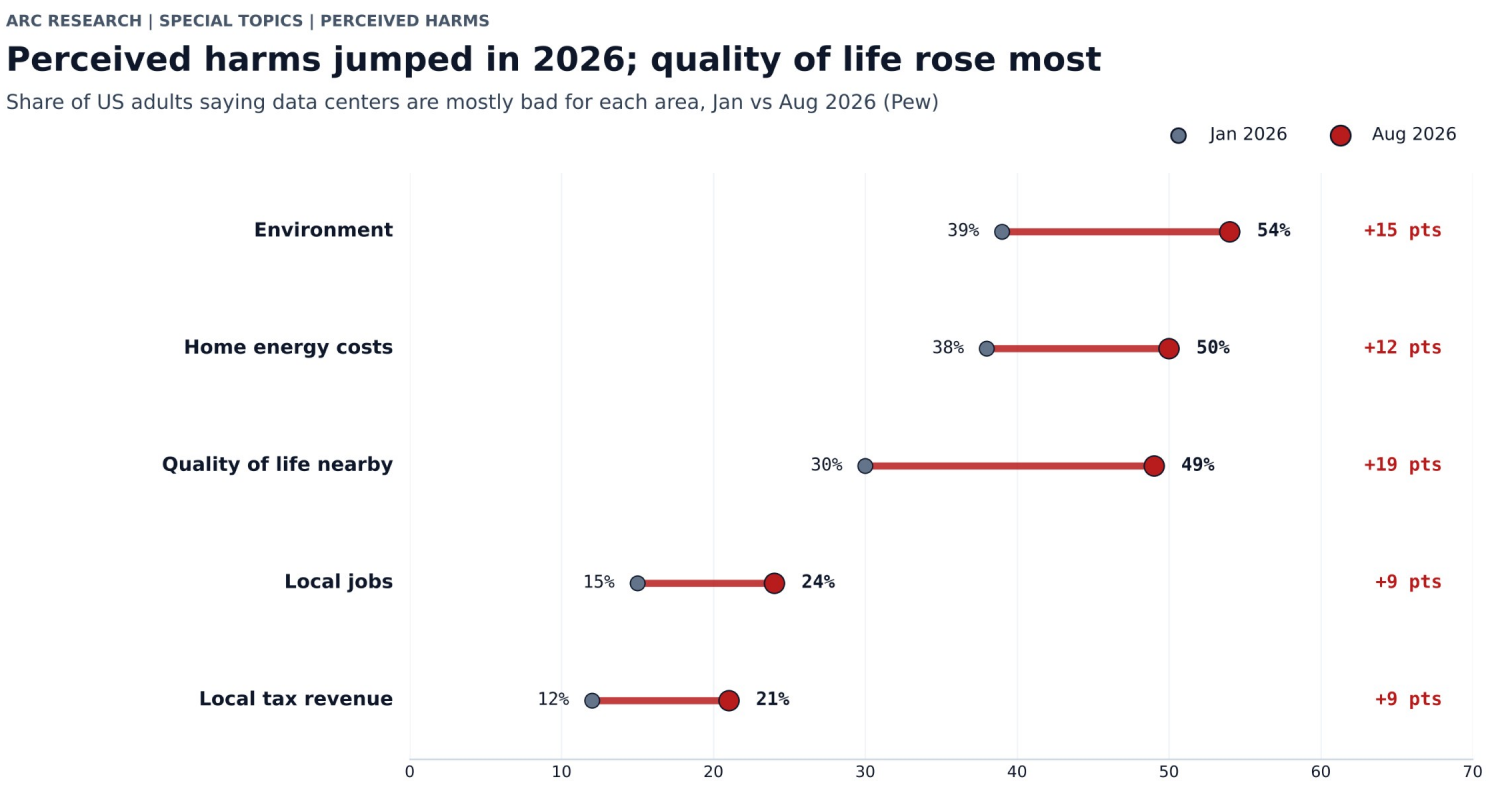
57–71% oppose across 8 polls

Embold: 42% → 75% in a year

Support never above 31%

PERCEIVED HARMS

Perceived harms jumped in seven months



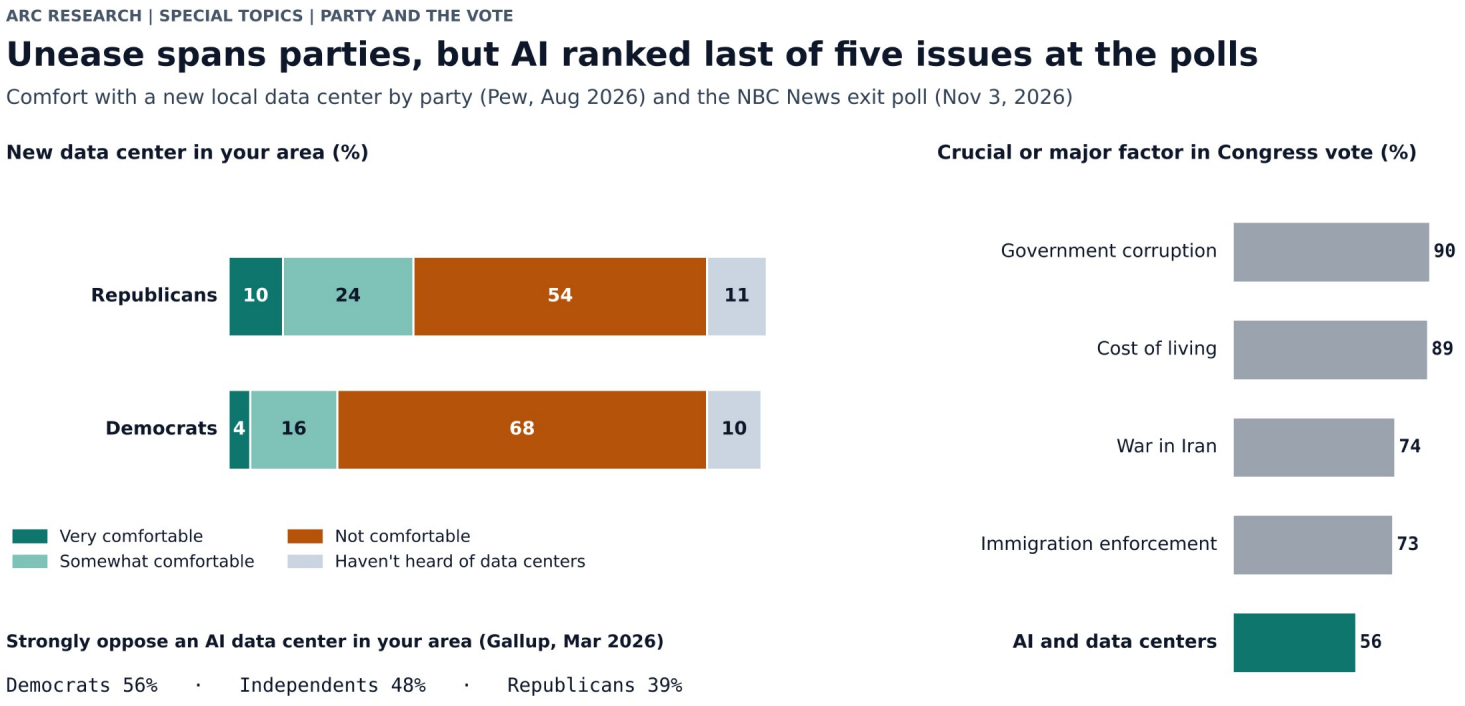
SO WHAT

Environment: 54% say mostly bad

Half now see higher home energy bills

Doubts spread even to jobs and taxes

Unease crosses parties; AI ranked last



Source: Pew Research Center, US adults, Jul 20-Aug 9, 2026 (n=10,548), 'how comfortable with a new data center operating in your area'. NBC News exit poll conducted by SSRS, Nov 3, 2026, share calling each issue a crucial or major factor in their vote for Congress; press-reported via The Decoder; only the five listed issues are in the dataset. Via the ARC Research dashboard. Data as of 5 Nov 2026.

SO WHAT

Not comfortable: 68% D, 54% R

AI a major factor for 56% of voters

But last of five issues: a local fight

OUTLOOK

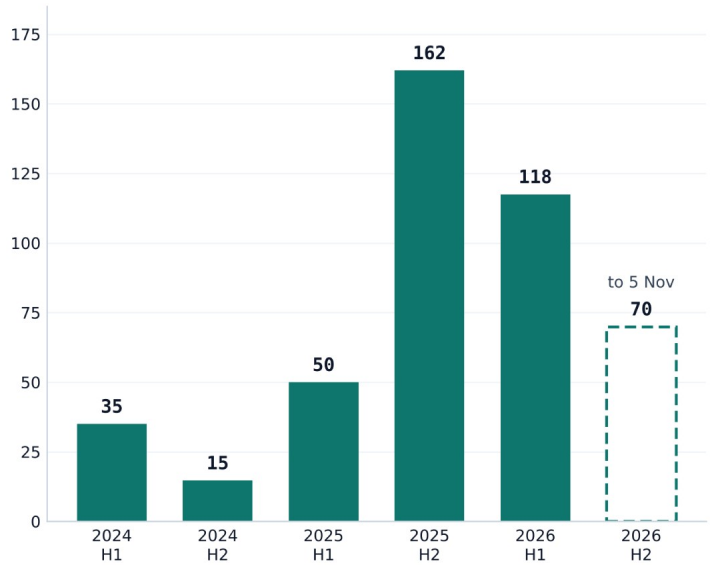
The buildout continues, just harder

ARC RESEARCH | SPECIAL TOPICS | OUTLOOK

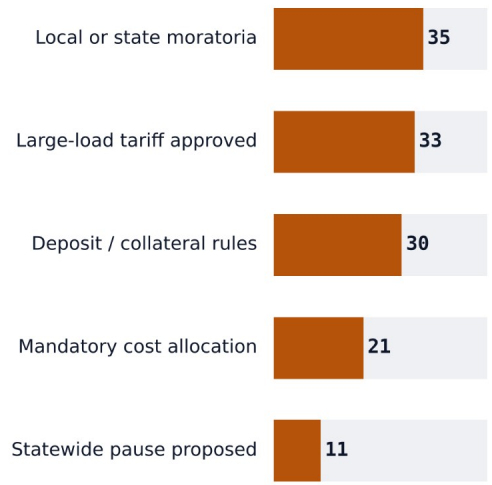
The buildout continues, but every new site faces more rules

Counted announcements keep arriving ($188B so far in 2026; $200B already under construction) while state friction spreads

Still coming: counted announcements, $B



But harder: states with each friction (of 50)



Source: left, counted announced investment from 10 companies on the ARC Research dashboard, by month announced (one 2026 entry with no month, Microsoft TX $0.5B, excluded); 2026 H2 runs Jul 1-Nov 5 only (hollow). Announced amounts are company/government statements, not spend. Right, ARC Research regulatory index, count of 50 states at or above a rubric level: moratorium >= 25 (local) and >= 60 (statewide pause proposed or partial); tariff >= 70; collateral >= 50; cost allocation = 100 (enacted mandatory). Our calculation. Data as of 5 Nov 2026.

SO WHAT

$188B announced in 2026 so far

$200B already under construction

Cost: pay for grid, wait in queues

ARC RESEARCH VIEW (A VIEW, NOT ADVICE)

Rules tighten in 2027; four signposts

1 · TEXAS

ERCOT audit, then Batch Zero

Audit Dec 2026 · allocations Apr 9, 2027

2 · NEW GOVERNORS

Pause pledges meet office

NM, ME, MI, GA from Jan · NH budget Feb

3 · UTILITY COMMISSIONS

Large-load tariffs keep spreading

NJ comments Nov 13 · MN class Dec 15 · AZ Dec 31

4 · UNCALLED RACES

AK, MS Senate · AK, KS governor

AK governor leader backs a pause

Sources

Regulatory index

ARC Research index evidence: 1,000 rows, each with source link and date (dashboard)

Texas: Utility Dive (PUCT rules); DLA Piper (Abbott pause); Mondaq (Batch Zero); Butler Snow (SB 6)

5 Nov refresh: WFSB (CT); Spectrum News 1 (KY)

Investment

Company and state announcements, 82 entries (dashboard)

Primer and water

LBNL 2024 US Data Center Energy Usage Report; Microsoft (Dec 2024); Cardinal News (press)

Elections

AP, NBC, CBS, MultiState projections (4 Nov); stance links per race (dashboard)

Uncalled: Alaska Public Media, WDAM, FairVote, KSHB

Polls

Pew; Gallup; Fox News; Embold/Heatmap; Emerson; Echelon; Economist/YouGov

Press-reported: NBC Decision Desk (Newsweek), Reuters/Ipsos, NBC exit poll (The Decoder)

Texas and tax breaks

EIA; ERCOT (Apr 2026); Tax Code 151.359; Dallas Innovates (press)

The Register; Signal Ohio; TPR; Bloomberg Law (press)

Maps and logos

Highcharts map collection (Natural Earth); @lobehub/icons